Tax Incidence: In-Class Questions

EC313 Public Economics: Taxation, Fall 2026

These questions are written in the style of the short-answer section of the midterm, where each part is worth 5 marks. We work through the answers in class, so solutions are not posted.

Question 1

Suppose Niagara Falls proposes raising its tax on hotel rooms from 4% to 8%. City council argues that the increase will cost residents nothing, because almost all hotel guests are visitors.

a) Evaluate council's claim using the theory of tax incidence.

b) Hotels cannot add rooms quickly, and tourists can easily choose other destinations. Who bears most of the tax? Use a graph to support your answer.